

BROKER: “Definitely a fast grower.”

YOU: “How fast? What’s the recent growth in earnings?”

BROKER: “Offhand, I don’t know. I can check into it.”

YOU: “I’d appreciate that. And while you’re at it, could you get me the p/e ratio relative to historic levels.”

BROKER: “Sure.”

YOU: “What is it about La Quinta that makes it a good buy now? Where is the market? Are the existing La Quintas making a profit? Where’s the expansion coming from? What’s the debt situation? How will they finance growth without selling lots of new shares and diluting the earnings? Are insiders buying?”

BROKER: “I think a lot of that will be covered in our analyst’s report.”

YOU: “Send me a copy. I’ll read it and get back to you. Meanwhile, I’d also like a chart of the stock price versus the earnings for the last five years. I want to know about dividends, if any, and whether they’ve always been paid. While you are at it, find out what percentage of the shares is owned by institutions. Also, how long has your firm’s analyst been covering this stock?”

BROKER: “Is that all?”

YOU: “I’ll let you know after I read the report. Then maybe I’ll call the company....”

BROKER: “Don’t delay too long. It’s a great time to buy.”

YOU: “Right now in October? You know what Mark Twain says: ‘October is one of the peculiarly dangerous months to speculate in stocks. The others are July, January, September, April, November, May, March, June, December, August, and February.’”

CALLING THE COMPANY

Professionals call companies all the time, yet amateurs never think of it. If you have specific questions, the investor relations office is a good place to get the answers. That’s one more thing the broker can do: get you the phone number. Many companies would welcome a chance to exchange views with the owner of 100 shares from Topeka. If it’s a small outfit, you may find yourself talking to